Somany Ceramics Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

One of India's big branded tile makers, selling floor and wall tiles (increasingly large glazed vitrified slabs) plus bathware and faucets through dealers to home builders and projects. Part of its output comes from its own plants, part from joint-venture plants and outsourced Morbi makers.

Number	Value	What it means
Market cap	Rs 2,256 cr	What the market values the whole company at.
Q2 FY27 sales growth	About 25%	Mostly price rises passed on for costlier gas; volume grew about 5.5%.
Q2 FY27 EBITDA margin	11.7%	Operating profit per Rs 100 of sales, up from about 8% through most of FY25 and FY26.
Bathware growth	About 18%	The smaller bathware arm is growing faster than tiles.
ROCE	About 15%	Decent return on the money tied up.
Stock P/E	About 16x	Modest for a branded building-materials name.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25	4 Nov 2024	Yes (key passages)
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	May 2025	Yes (key passages)
Q1 FY26	14 Aug 2025	Yes (key passages)
Q2 FY26	7 Nov 2025	Yes (key passages)
Q3 FY26	Jan 2026	Yes (key passages)
Q4 FY26	15 May 2026	Yes (key passages)
Q1 FY27	Aug 2026	Yes (key passages)
Q2 FY27	5 Nov 2026	Yes, read in full ★

Nine calls across two years, from NSE filings.

Latest concall highlights: Q2 FY27 (call held 5 Nov 2026)

- Sales up about 25%, volume up 5.5%. Prices are up 16-17% since April, a full pass-through of gas costs.
- EBITDA margin 11.7% on fuller own and JV plants, price pass-through and a better product mix. Management now talks of a 2-2.5 point margin gain this year, above its start-of-year 1-1.5 point guide.
- FY27 growth guide kept at high single digits; bathware about 20%. Volumes expected better in Q3 and much better in Q4.
- Gas around Rs 70 per cubic metre; most plants can now switch between natural gas, LPG and propane.
- Morbi exports have collapsed (down about 45% in volume), with about a third of Morbi shut. Somany barely exports, so it's mostly hit by spare Morbi supply at home, yet it has held prices.
- New South India plant of about 9 million square metres, about Rs 220 cr, funded half debt half equity.

Business mix & capacity

Domestic vs export: Almost entirely domestic; exports are minor.

Capacity use: Own and JV plants now running fuller than the 72-80% of FY26; all plants planned at full capacity.

3. Earning Trigger thesis

The driver is operating leverage: after two years of weak tile demand and margins stuck near 8%, Somany's own and JV plants are filling up and it passed every gas price rise to customers. Margins jumped nearly four points. A new South plant comes next. The catch is that tiles are a gas-cost, cycle-driven business and volume growth is still modest.

Trigger	What management said	Evidence so far	Time horizon	Strength
Plant utilisation	Fuller plants lift margin	EBITDA margin from about 8% to 11.7%	Now	Strong
Price pass-through	Hold prices despite Morbi oversupply	16-17% price rise held	Ongoing	Moderate: depends on gas
Bathware	About 20% growth	Up 18%	FY27	Moderate
South plant	9 million sq m, Rs 220 cr	Planned for next year	FY28	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	
New business	No	
Margin up	Yes	EBITDA margin 11.7% on better utilisation, full price pass-through and mix (5 Nov 2026)
New management	No	
New capacity	Yes	9-plus million sq m South plant, about Rs 220 cr, for next year (Aug 2026)
Big orders	No	
Turnaround	No	
Promoter buying	No	

The single concrete driver: Fuller own and JV tile plants plus a full pass-through of gas costs lifting margins from about 8% to the high single digits plus.

3c. Margin bridge

EBITDA margin is 11.7% against about 8% a year ago. Plants and JVs ran fuller, every gas cost rise was passed on and the mix improved. Management sees more gains next year; gas stays the risk. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2024	FY25 growth 5-6.5%	Q4 FY25 sales up 5%; full year lower	Partly
May 2025	FY26 growth high single digit to low double digit	Demand stayed weak; growth fell short	Missed
Nov 2025	FY26 margin up 1-1.5 points	Up about 1 point	Partly
May 2026	FY27 margin about 10.8% or better	11.6-11.7% in H1	Delivered
Aug 2026	Mid-single-digit volume growth	5.5% in Q2	Delivered

Narrative drift: The story hasn't changed: brand, distribution, fill the plants, pass on gas. For two years management guided to a recovery that didn't come, blaming weak demand and Morbi. This year the guides have been cautious and are being beaten.

5. Bottom line

Durable earning trigger? → YES

The margin jump from fuller plants is in the numbers and a new plant follows. It rides a gas-cost cycle, so it's not bulletproof.

Management consistent? → MAYBE

FY25 and FY26 growth guides missed, but this year's more cautious guidance is being met and beaten.

6. Checkpoints for next quarter

- EBITDA margin holds near this quarter's level
- Volume growth picks up in Q3 as guided
- South plant gets started on its stated timeline

This is not investment advice. Do your own due diligence.